

VERA HERITAGE | OPERATING MODEL DRAFT

Ube Business Opex, Cash Flow & Product Development Budget

A lean first-year operating plan for starting with local raw ube / ube powder trading, while building a buyer-ready export-grade ube powder product.

FIRST 3 MONTHS Trade + learn Use local trading to generate gross profit, validate suppliers, and learn quality/logistics.	MONTHS 3-6 Build proof Develop samples, packaging, specs, lab testing, documentation and buyer materials.	MONTHS 7-12 Pilot export Move toward paid pilots, distributor validation, repeat orders and disciplined scale.
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EXECUTIVE SUMMARY

The business can start lean, but trading will not fully fund product development by itself.

Recommended base plan: prepare around **₱2.1M-₱2.4M** cash requirement for the first six months, including product development, testing and lean operating costs, plus **₱300k-₱600k** separate revolving trading capital. For Year 1, plan around **₱3.5M-₱4.8M** total funding capacity before meaningful export reorders.

FIRST 6 MONTHS Cash need ₱2.1M-₱2.4M base operating + product development budget before major export scale. No plant Founder salaries deferred	TRADING CAPITAL Separate float ₱300k-₱600k revolving float for raw ube or powder trading inventory, not treated as normal opex. Buy/sell cycles Cash discipline	YEAR 1 Funding capacity ₱3.5M-₱4.8M recommended base capacity to reach pilots, docs, testing and first repeat buyers. Lean team Toll processing
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QUESTION	RECOMMENDED ANSWER	WHY
Do you hire immediately?	No full-time payroll in Month 1. Use founders + part-time/on-call support.	Cash should go to supply learning, sample batch, packaging, testing and buyer proof.
Can trading create first-3-month cash flow?	Yes, but mostly gross-profit offset. Expect ₱80k-₱150k cumulative gross profit in a base case if execution is disciplined.	Early volumes should be small to avoid spoilage, bad debt and speculative inventory.
Should you build a processing plant?	No in Year 1 unless demand proves it. Use toll processors and partner factories.	Plant capex before repeat demand can trap capital and distract the founders.
Where does cash go?	Product samples, lab testing, packaging, compliance, logistics, buyer outreach, supplier development and working capital.	The investable product is not powder alone; it is powder plus proof, packaging and repeatable supply.

OPERATING PHASES

Run two tracks at the same time: trading for cash/learning, product development for export value.

MONTHS 1-3 Local Trading + Supplier Learning • Trade raw ube locally only against identified buyers. • Test small powder resale if reliable supplier exists. • Build supplier price, quality and seasonality database. • Keep fixed opex very low.	MONTHS 2-6 Product Development • Buy raw ube for trials. • Pay toll processor sample fees. • Develop packaging sizes. • Run lab testing and build documentation.	MONTHS 6-12 Buyer Pilots + Export Readiness • Send sample kits to US/EU/GCC buyers. • Close paid pilot orders. • Validate landed cost and reorder conditions. • Decide whether to deepen toll processing or plan facility capex.
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The key management rule: trading should never consume all attention. It should finance learning and relationships while the higher-value export powder product is being built.

TRACK	PRIMARY OWNER	CASH ROLE	DECISION GATE
Raw ube trading	Marc	Small gross profit, supply intelligence, farmer relationships.	Stop if inventory spoils, margins fall below 12%, or buyers do not pay fast.
Ube powder trading/resale	Marc sells, Chris documents	Higher margin but requires credible supplier, COA and label control.	Proceed only if source is consistent and repacking/regulatory risk is understood.
Export product development	Chris product/docs, Marc processor/supply	Main use of funds; creates enterprise value.	Continue if buyers request samples and specs are improving.
Paid pilots	Marc closes, Chris supports docs	First true validation of export demand.	Scale only after repeat order conditions are clear.

ASSUMPTIONS

This model is intentionally lean: no plant, no office, no full payroll at launch.

ASSUMPTION	BASE CASE	LOW / HIGH SENSITIVITY	COMMENT
Founder salaries	Deferred for first 6 months	Optional Marc stipend ₱25k-₱40k/mo from Month 4 if cash allows	Track deferred founder value separately for fairness, but protect cash.
Team	Founders + part-time coordinator from Month 2/3	No hire until Month 4 / hire operations assistant Month 3	Do not hire sales before there are samples and a CRM.
Trading float	₱300k-₱600k revolving	₱150k lean / ₱1M aggressive	Separate from opex because inventory cash should recycle.
Raw ube trade margin	12%-22% gross margin after transport/spoilage	8%-30%	Use confirmed buyers; avoid speculative bulk stock.
Powder resale margin	20%-35% gross margin	15%-45%	Higher margin but requires supplier reliability and regulatory care.
Toll processing	2-3 sample batches before export-ready specs	₱60k-₱180k per batch all-in	Depends on processor, yield, minimum batch and raw material volume.
Testing	₱80k-₱180k in first 6 months	₱40k basic / ₱250k broader pesticide-heavy metal-micro program	Use accredited labs where buyer/importer requires.
Packaging	Stock pouches + labels first; custom print later	₱25k-₱80k first mockups / ₱100k-₱300k custom run	Custom printed MOQ can trap cash before product-market fit.
Regulatory	FDA path scoped; LTO/CPR timing depends on activity and final product route	₱20k DIY/scoping / ₱80k-₱180k with consultant	Government fees are moving; confirm latest FDA fee status before filing.

The model uses management estimates for planning. Actual numbers must be replaced with supplier quotations, processor quotations, lab quotations, packaging quotations and buyer payment terms as they arrive.

STAFFING PLAN

Hire late and narrowly. Use part-time help before fixed payroll.

MONTH 1 Founders only Marc handles supply, trading, processor and investor calls. Chris builds documents, website, CRM and product-development system. Cash logic: spend on proof, not payroll.	MONTHS 2-4 Part-time coordinator Use an on-call logistics/admin coordinator for deliveries, sample packing, supplier follow-up and records. Budget: ₱12k-₱25k/mo.	MONTHS 6-12 Ops / QA support Only hire or retain stronger QA/regulatory support once sample batches and buyer pilots justify it. Budget: ₱25k-₱60k/mo depending on scope.
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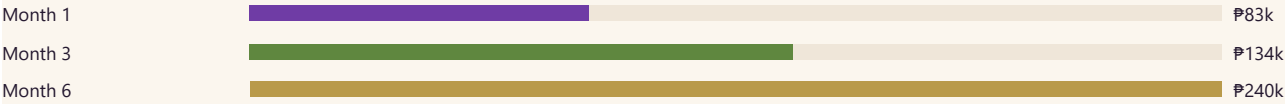
ROLE	WHEN TO ADD	MONTHLY COST RANGE	WHY / TRIGGER
Part-time admin / logistics coordinator	Month 2-3	₱12k-₱25k	Needed once trading, samples and supplier follow-ups become too much for founders.
Bookkeeper / accounting retainer	Month 1	₱5k-₱12k	Track inventory, taxes, receipts, founder advances and trading P&L from day one.
Food technologist / QA consultant	Month 3-6	₱20k-₱60k	Use project basis for specs, testing plan, COA interpretation, labels and process validation.
Sales assistant / lead researcher	Month 5-8	₱15k-₱35k	Only after sample kit is ready and Marc has a repeatable outreach process.
Warehouse/helper	Only if volume requires	₱600-₱900/day or ₱15k-₱25k/mo	Use on-call labor first. Hire only if weekly inventory movement is recurring.

Do not hire a full-time sales person before there is a sample kit, pricing, spec sheet, CRM and buyer list. Otherwise the hire will only create activity, not revenue.

FIXED OPEX

Base-case monthly opex should climb slowly as proof increases.

CATEGORY	M1	M2	M3	M4	M5	M6
Part-time coordinator / labor	-	15k	20k	25k	25k	30k
Bookkeeping / admin filings	8k	8k	8k	10k	10k	10k
Comms, cloud, CRM, software	5k	5k	6k	8k	8k	10k
Farm visits / buyer meetings / fuel	25k	30k	35k	35k	40k	45k
Local logistics, hauling, delivery	10k	15k	20k	35k	40k	45k
Storage / sample holding / cold contingency	-	-	10k	15k	15k	20k
Marketing, website, buyer outreach	15k	12k	20k	25k	35k	35k
QA/regulatory consultant retainer	-	-	-	30k	30k	35k
Legal, permits, banking, contingency	20k	26k	15k	15k	15k	10k
Total Fixed Opex	83k	111k	134k	198k	218k	240k



First six months base fixed opex: about ₱984k. This excludes inventory purchases and one-time product development/testing costs.

PRODUCT DEVELOPMENT

The biggest early cash outlays are processing trials, testing and packaging.

COST ITEM	TIMING	LEAN	BASE	INVESTOR-READY	NOTES
Raw ube for R&D batches	M1-M4	₱30k	₱75k	₱150k	Small lots first; record variety, source, kg, defects and yield.
Toll processing sample fees	M2-M5	₱100k	₱230k	₱450k	Dehydration/milling/blanching/drying trials; 2-3 iterations likely.
Packaging design + mockups	M1-M3	₱35k	₱75k	₱150k	Use stock pouch + label first; avoid large custom MOQ too early.
Small packaging run	M3-M5	₱40k	₱140k	₱300k	100g, 500g, 1kg, 5kg sample/foodservice sizes.
Lab testing	M3-M6	₱60k	₱180k	₱350k	Micro, moisture, water activity, heavy metals, pesticide screen, shelf-life observation.
FDA / regulatory scoping	M3-M6	₱25k	₱90k	₱180k	Depends whether Vera registers as trader/distributor/exporter/manufacturer and whether consultant is used.
Sample shipment + buyer kits	M4-M6	₱40k	₱125k	₱250k	Domestic and international sample logistics; export samples cost more than expected.
Photo/content/data room/docs	M1-M6	₱20k	₱60k	₱120k	Spec sheets, buyer one-pagers, website assets, data room and batch folders.
Total Product Development	First 6 months	₱350k	₱975k	₱1.95M	Base case is enough for credible samples, not full industrial validation.

Do packaging in two stages: first stock pouches + professional labels for sampling; then custom printed packaging only after buyer feedback confirms sizes, claims, label language and reorder potential.

TRADING CASH FLOW

Raw ube trading can create early cash flow, but it must be buyer-led.

RAW UBE TRADING MODEL	CONSERVATIVE	BASE	AGGRESSIVE
Starting monthly volume by Month 3	500 kg	1,500 kg	3,000 kg
Average buy cost	₱90/kg	₱85/kg	₱80/kg
Transport/sorting/spoilage allowance	₱15/kg	₱12/kg	₱10/kg
Average sell price	₱120/kg	₱125/kg	₱130/kg
Gross profit per kg	₱15	₱28	₱40
Month 3 gross profit potential	₱7.5k	₱42k	₱120k
Working capital required per cycle	₱45k-₱75k	₱150k-₱250k	₱300k-₱500k

DO Trade with controls • Pre-sell or identify buyer before purchase. • Grade by size, defects, color and solids. • Record farm source, kg bought, shrinkage and selling price. • Collect cash quickly; avoid long receivables.	AVOID Speculative inventory • Do not hold raw ube without buyer. • Do not let trading consume product-development time. • Do not count inventory float as profit. • Do not extend credit to weak buyers.
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Base expectation: local raw trading may offset **₱80k-₱150k** of costs in the first three months if execution is good, but it should not be expected to fully fund the product-development plan.

POWDER TRADING

Ube powder resale can have better margin, but higher documentation risk.

POWDER TRADING MODEL	SMALL TEST	BASE PILOT	STRONGER PILOT
Monthly powder volume	20 kg	75 kg	200 kg
Buy cost from existing supplier	₱450/kg	₱380/kg	₱330/kg
Packaging/label/handling	₱80/kg	₱60/kg	₱45/kg
Average sell price local B2B	₱700/kg	₱650/kg	₱600/kg
Gross profit per kg	₱170	₱210	₱225
Monthly gross profit	₱3.4k	₱15.8k	₱45k

Powder trading is only attractive if the supplier can provide consistent quality, origin claims, ingredient declaration, batch information and ideally lab results. Repacking creates labeling and regulatory risk; selling supplier-packed or clearly marked sample quantities is safer early.

BEST USE

Learn applications

Sell to local bakers, cafes and ice cream makers to learn performance, recipes and price sensitivity.

BEST BUYER

Local B2B

Cafes, bakeries, dessert makers and small foodservice users who can test quickly.

BEST CONTROL

Batch records

Keep supplier, lot, date, kg, buyer, feedback and complaint records from the first sale.

MONTH-BY-MONTH MODEL

Base-case first six months: around ₱1.6M-~~₱1.8M~~ net cash burn after trading gross profit.

MONTH	FIXED OPEX	PRODUCT DEV / ONE-TIME	TRADING GROSS PROFIT	NET CASH BURN	PRIMARY WORK
M1	₱83k	₱75k	(₱15k)	₱143k	Setup, supply map, first small raw trade, product spec draft.
M2	₱111k	₱160k	(₱35k)	₱236k	Processor quote, first trial batch, packaging mockups.
M3	₱134k	₱230k	(₱60k)	₱304k	Basic lab testing, second sample batch, first buyer sample list.
M4	₱198k	₱290k	(₱75k)	₱413k	Expanded testing, packaging sample run, FDA/regulatory scoping.
M5	₱218k	₱180k	(₱95k)	₱303k	Buyer sample kits, domestic B2B tests, first paid pilot attempts.
M6	₱240k	₱160k	(₱120k)	₱280k	Export data room, label refinement, distributor/buyer validation.
Total	₱984k	₱1.095M	(₱400k)	₱1.679M	Before separate trading working capital float.

Add a separate ~~₱300k-₱600k~~ trading float. If inventory cash recycles, it is not “spent,” but it must be available or trading cannot happen.

YEAR 1 BUDGET

Year 1 should be funded for proof, not for a plant.

SCENARIO	FIRST 6-MONTH CASH EXPENSES	YEAR 1 CASH EXPENSES	TRADING GROSS PROFIT OFFSET	RECOMMENDED FUNDING CAPACITY	USE CASE
Lean	₱1.25M-₱1.55M	₱2.6M-₱3.2M	₱500k-₱900k	₱2.5M-₱3.5M	Very tight plan, slower testing, fewer sample shipments, no major trade shows.
Base Recommended	₱2.1M-₱2.4M	₱4.0M-₱4.8M	₱1.2M-₱1.8M	₱3.5M-₱4.8M	Credible samples, testing, packaging, buyer outreach, paid pilots and lean team.
Investor-Ready	₱3.0M-₱3.6M	₱6.0M-₱7.5M	₱1.5M-₱2.5M	₱5.5M-₱7.5M	Broader lab program, more sample shipments, trade shows, stronger QA/regulatory support.

1 ₱984k first 6-month fixed opex	2 ₱975k base product development	3 ₱120k contingency buffer	4 -₱400k trading gross profit offset	5 ₱1.68M net first 6-month burn	6 + float ₱300k-₱600k trading capital
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For investor discussions, ask for money against milestones: sample batch, lab results, packaging, buyer samples, paid pilots, supplier MOUs and export documentation. Do not raise around a plant narrative yet.

EXPENSE DETAIL

Complete opex checklist: what to budget, what to delay, what to avoid.

EXPENSE CATEGORY	FIRST 6-MONTH TREATMENT	MONTHLY / ONE-TIME RANGE	KEEP-LOW-OPEX RULE
Founder salaries	Defer or record as unpaid contribution	₱0 cash initially	Pay only after repeat trading/pilot cash flow.
Admin/coordinator	Part-time/on-call	₱12k-₱25k/mo	Hire for execution bottlenecks, not status.
Accounting/bookkeeping	Start immediately	₱5k-₱12k/mo	Required to separate trading inventory, COGS, expenses and founder advances.
Office	None; work remote	₱0-₱5k/mo	No office until team and inventory justify it.
Storage	Temporary / on-demand	₱0-₱20k/mo	Do not sign long lease before recurring volume.
Transport and farm visits	Active spend	₱25k-₱45k/mo	This is strategic; track every trip outcome.
Sample logistics	Active from Month 4	₱30k-₱100k bursts	Send samples only to qualified buyers.
Website/CRM/email	Active low-cost stack	₱5k-₱20k/mo	Use simple tools first; avoid expensive automation.
Packaging	Stock pouch + label first	₱25k-₱140k initial	Custom print after specs and sizes are validated.
Testing	Stage by buyer requirement	₱40k-₱250k	Run basic first, expand when buyer or importer asks.
Regulatory/FDA	Scope early, file when product route is clear	₱20k-₱180k	Avoid filing wrong activity/product category too early.
Trade shows	Attend/meetings first; booth later	₱0-₱500k+	No booth before sample kit, pricing and follow-up process.

CASH CONTROLS

Use simple rules so the business does not accidentally become expensive.

MONTHLY MANAGEMENT PACK

Must be updated every month

- **Cash balance and runway.**
- **Trading inventory and receivables.**
- **Trading gross profit by transaction.**
- **Product-development spend vs budget.**
- **Buyer pipeline: samples sent, feedback, paid pilots.**
- **Supplier pipeline: price, quality, volume, reliability.**

SPENDING APPROVAL RULES

Protect the cash

- Any single spend above ₱25k requires both founders to approve.
- Inventory buys require identified buyer or written trading thesis.
- No custom packaging run above ₱100k without buyer feedback.
- No full-time hire without 3 months of visible workload.
- No plant capex without repeat orders and yield/cost proof.

DECISION GATE	PROCEED IF	PAUSE IF
Increase trading float	3 profitable cycles, cash collected within agreed terms, spoilage under control.	Buyers delay payment, shrinkage rises, or Marc’s time is consumed by low-margin trades.
Custom printed packaging	Sample buyers confirm size, label language and reorder interest.	Product specs are still changing or buyer feedback is not in.
Hire operations assistant	Founders are consistently blocked by admin/logistics and revenue work is delayed.	There is no repeatable weekly workflow yet.
Export sample spend	Buyer is qualified, application is clear, and follow-up call is scheduled.	Buyer is vague, low-fit, or only wants free samples.
Plan processing facility	Repeat orders, supply MOUs, yield data, processing cost and working capital are proven.	Only investor excitement exists, but demand is not repeatable.

IMPLEMENTATION CALENDAR

Month-by-month action plan with cash discipline.

MONTH	COMMERCIAL / TRADING	PRODUCT / DOCUMENTATION	CASH RULE
M1	Small raw ube trades; map suppliers and buyers.	Spec draft, website/CRM, supplier intake form.	Keep fixed opex under ₱100k; no speculative inventory.
M2	Repeat 1-2 trading cycles; start local powder buyer conversations.	First toll processor sample batch; packaging mockups.	Trading float capped until cash collection is proven.
M3	Build local B2B buyer list; test powder resale.	Basic lab tests; second batch; sample kit draft.	Do not hire full-time; use part-time help only.
M4	Send first domestic B2B samples; qualify export buyers.	Expanded tests; packaging run; regulatory scoping.	Approve testing spend against buyer/spec need.
M5	Seek paid local pilots; begin importer/distributor calls.	Refine labels, specs, data room and buyer kit.	No custom packaging expansion without feedback.
M6	Close first paid pilot targets; decide export sample recipients.	Finalize export sample pack and documentation checklist.	Review whether trading is truly funding or distracting.
M7-M9	Paid pilots, distributor validation, repeat local B2B orders.	Batch documentation, COA updates, shelf-life observation.	Increase opex only if paid pilots and reorders appear.
M10-M12	Prepare larger pilot purchase orders and investor update.	Finalize Year 2 processing/supply plan.	Facility capex only after proof gates are met.

By Month 6, the board question should be: do we have supplier reliability, product specs, buyer feedback and paid pilot signals? If yes, fund export scale. If no, keep trading small and fix the proof gaps.

SOURCE NOTES

Reference points used for this planning model.

AREA	REFERENCE USED	HOW IT WAS USED
Wage floor	National Wages and Productivity Commission May 5, 2026 wage summary; NCR ₱695/day and regional rates vary.	Used to sanity-check assistant/helper/coordinator monthly ranges. Actual hires should be priced by location and role.
FDA / LTO / CPR	FDA eServices/LTO/CPR guidance; AO 2024-0016 fee changes and suspension/amendment reporting.	Used to flag that fees and route must be confirmed before filing; budget includes scoping/consultant range rather than one fixed number.
Food testing	Philippine labs such as FAST Laboratories list food/feed testing including microbiological and heavy metal/mineral analyses.	Used to identify likely testing categories; actual costs require lab quotations by analyte and method.
Packaging	Packaging suppliers show stock/custom stand-up pouch options; 2026 guides indicate custom pouches vary by MOQ and printing method.	Used to recommend stock pouch + label first, then custom print after buyer feedback.
Ube pricing	Public raw ube retail/farmgate data is fragmented; PSA/OpenSTAT and market listings should be checked during sourcing.	Used to model ranges, not fixed prices. Vera must replace with actual farmgate and buyer quotes.

Important: this is a management planning model, not accounting, tax, legal or FDA advice. Before filing registrations, exporting samples or signing distributor agreements, confirm requirements with FDA consultant, importer, customs broker, accountant and counsel.

NEXT DATA TO COLLECT

Replace assumptions

- Farmgate quotes by supplier and variety.
- Toll processor quotation by batch size.
- Lab quotation by test package.
- Packaging quotation by size/MOQ.
- Shipping quotation for buyer samples.
- Buyer payment terms and expected reorder volume.

MANAGEMENT DISCIPLINE

Keep it lean

- Spend only where it creates proof.
- Use toll processors before capex.
- Use part-time help before payroll.
- Use stock packaging before custom MOQ.
- Use buyer-led trading before inventory speculation.